

# Confidential Information Memorandum

## Project Ridgeline

Ridgeline Municipal Solutions LLC | Municipal Permitting And Licensing Software

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*Prepared by Cardinal & Vale Advisors · FY25*

## Executive summary

Ridgeline supplies permitting, inspections and business-licence workflow to small and mid-sized municipalities. Contracts are typically five years and include a substantial configuration phase.

The business is a municipal permitting and licensing software platform founded in 2006 and employing 88 people from its Boise, Idaho headquarters. Approximately **58%** of total revenue is recurring subscription revenue; revenue grew **11%** year over year in FY25.

Public-sector procurement cycles are long and incumbents are rarely displaced mid-term.

## **The business**

Ridgeline supplies permitting, inspections and business-licence workflow to small and mid-sized municipalities. Contracts are typically five years and include a substantial configuration phase.

Revenue is contracted under written agreements with defined renewal terms. Implementation is delivered by the company's own team, and ongoing support is included in the subscription for all customer tiers.

Public-sector procurement cycles are long and incumbents are rarely displaced mid-term.

## **Market overview**

The municipal permitting and licensing software market is fragmented, with a long tail of regional providers and no single vendor holding a dominant national share. Buyers are operationally conservative and replacement cycles are measured in years rather than quarters.

Management believes the addressable market continues to expand as smaller operators retire spreadsheet-based and paper processes, and as regulatory reporting obligations increase the cost of manual compliance.

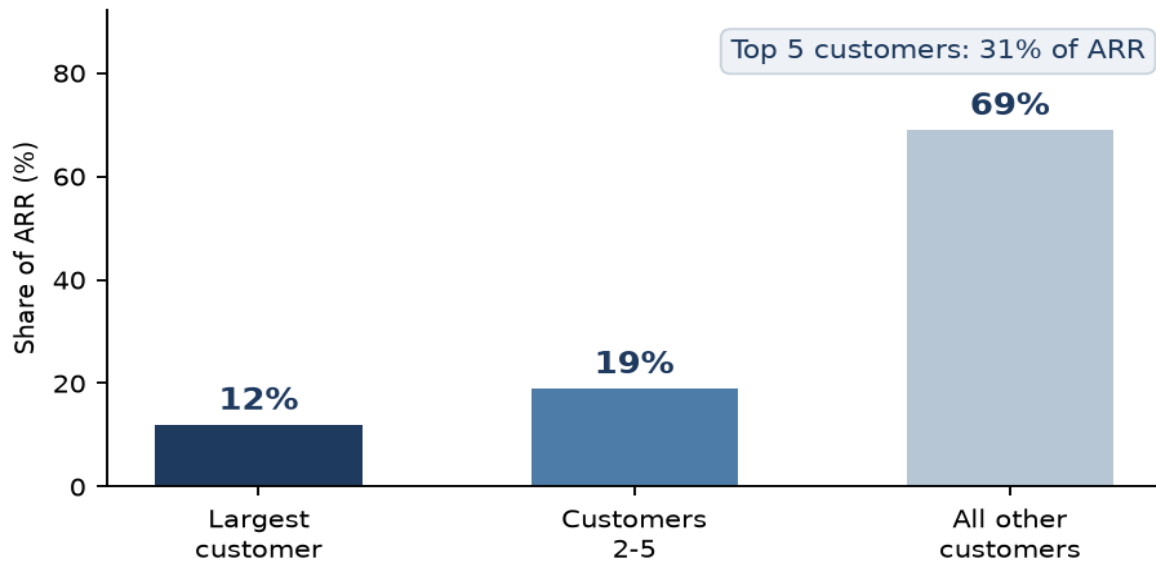
## Product

The platform is delivered as a hosted application with role-based access, configurable workflow, and an audit trail across every transaction. Customers access the system through a browser; a mobile companion application covers field workflows.

The published integration surface covers accounting, payments and reporting endpoints, and a documented API supports customer-built extensions.

## Customer base

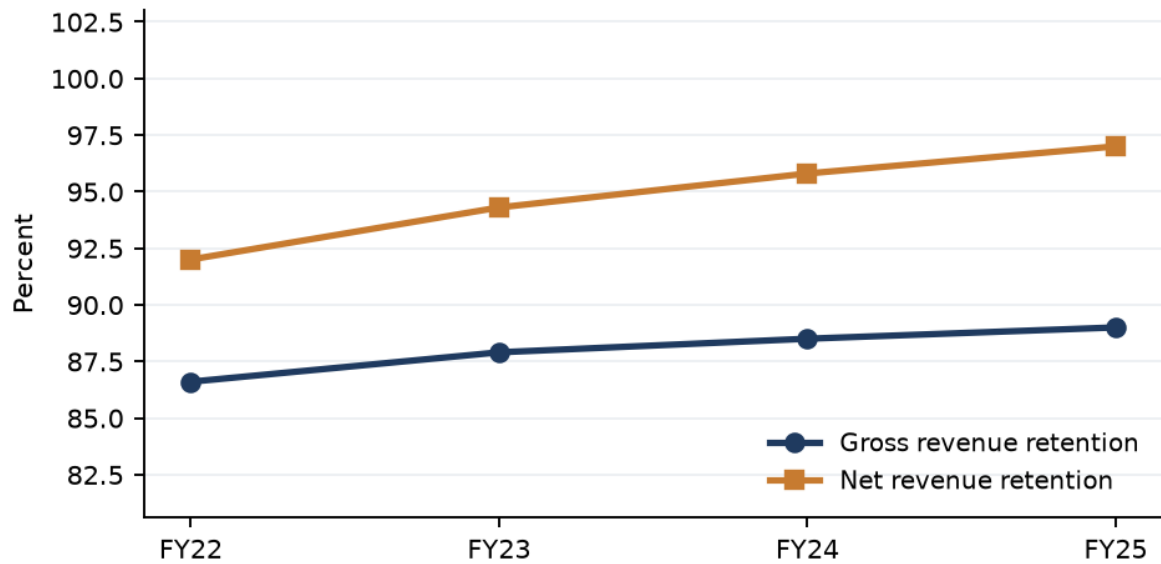
The customer base is contracted on written agreements with staggered renewal dates. The chart below sets out the distribution of annual recurring revenue across the customer base.



*Distribution of annual recurring revenue by customer, FY25.*

## Retention

Retention has been measured on a consistent basis across the periods shown. Gross retention excludes expansion; net retention includes expansion, upsell and contraction within the existing base.



*Gross and net revenue retention, FY22 to FY25.*

## Financial summary

The table below summarises FY25 performance. Figures are unaudited and prepared by management.

| Metric                    | FY25    | Basis                  |
|---------------------------|---------|------------------------|
| Annual Recurring Revenue  | \$11.2M | Contracted, annualised |
| Monthly Recurring Revenue | \$933K  | Exit month             |
| Gross margin              | 52%     | Excl. amortisation     |
| EBITDA                    | \$1.0M  | Adjusted               |

*Adjusted EBITDA reflects add-backs for one-time transaction preparation costs and non-recurring legal expenses.*



## **Management and organisation**

A long-tenured leadership team, most of whom joined before 2014. Delivery is led by a services organisation of 39 people.

Total headcount is 88. The company operates from a single office in Boise, Idaho with a distributed support function.

## Technology

Each municipality runs a configured instance. Configuration is performed by the services team rather than by the customer.

Security controls include role-based access, encryption in transit and at rest, and an annual third-party penetration test.

## **Growth initiatives**

Management has identified three near-term initiatives: expanding the integration catalogue, introducing usage-based modules alongside the core subscription, and extending into adjacent operator segments already served informally today.

## Transaction process

Indications of interest are requested by the date set out in the process letter. Management presentations will be scheduled with selected parties, and access to a virtual data room will follow execution of a confidentiality agreement.

*Enquiries should be directed to the advisor named on the cover.*